Pakistan and Iran' says Saba.[123] True, the fact that India and Iran cooperated on many issues in Afghanistan cannot be underestimated. Indian investment in Iran's Chahbahar Port, building of the Zaranj-Delaram highway that connects Iran and Afghanistan, and use of Iranian territory to supply goods to Afghanistan impart a critical strategic dimension to the India-Iran-Afghanistan trilateral relationship. Beneath this larger strategic convergence, however, there were divergences on the ground. For instance, the Salma Dam, built by Indian companies and managed by the Water and Power Consultancy Services Ltd. (WAPCOS), was a source of bitter rivalry between Kabul and Tehran, and often dragged India into the dispute.

Being the lower riparian on the Hari Rud River on which the dam is built, Iran stands to lose from its construction. Unlike the Chahbahar port that would make Afghanistan dependent on Iran, the dam would give Kabul power over east Iran's water supplies, which is an unacceptable proposition for Tehran (the Hari Rud goes on to Turkmenistan after crossing Iran). Not without reason. The two countries have a history of mutual mistrust over water sharing. The question of sharing Helmand River's water during the drought hit year of 1971, animated diplomatic duels and political mud-slinging between Tehran and Kabul.[124] In 1998 when Iran threatened to attack Afghanistan in retaliation for the killing of Iranian diplomats in Mazar-e-Sharif, the Taliban diverted the Helmand's flow southwards into the Gowd-e-Zerrah depression, drying up Iran's Hamun-e-Helmand Lake and nearly destroying Sistan-Baluchistan's farming, flora, fauna, and wildlife. More recently, Afghan politicians have often threatened cutting water supplies to Iran (and Pakistan) in response to the latters' interventionism. In 2009, for instance, Afghan parliamentarian Najibullah Kabuli vehemently protested against Tehran's interference in the completion of the dam and argued that 'we [Afghans] want to stop water flowing into Iran and Pakistan. Every Iranian is benefitting from the water but not the Afghans who have the right to it.'[125] Even for Ismael Khan, the powerful warlord-cum-politician from Herat, the possibility of storing water (an act that will give Afghanistan leverage over the supply of this water to Iran) is of paramount importance.[126] Without fail, when Iran refused India permission to ferry dynamites to the Chest-e-Sharif district